ContractLens MAS — Comparative Synthesis Report

NEC Douglas D02 - Submitted programme without time risk allowance

Generated: 2026-07-07T15:05:08+08:00
Agents: GCC Agent · NEC Agent · Comparison Agent
Workflow: Query Decomposition → Parallel Querying → Cross-examination → Synthesis → QA
Overall verdict: **PASSED**

Context / Scenario

The Contractor submits a detailed programme for acceptance showing the order and timing of operations and details of resources and Equipment. The programme does not show any time risk allowance, and the Contractor says in discussions that it is based on best productivity throughout, resulting in planned Completion one month earlier than the Completion Date.

Topic

Submitted programme without time risk allowance.

Questions

How might the Project Manager reply to the submitted programme?

Query Plan

L1 — Spirit / Philosophy: How does the contract's programme regime reflect its governance philosophy on proactive time management, risk allocation, and collaborative administration of the works?
L2 — Clause-level Provisions: What clauses govern the required contents of a submitted programme, including any requirement for time risk allowance or float, and what rights or duties does the Project Manager or contract administrator have when replying to a non-compliant submission?
L3 — Practice Implications: In practice, how might rejection, acceptance, qualified acceptance, or silence affect the contractor's planning discipline, entitlement to extensions of time, and administration of future delay events?
Canonical topic: programme_obligations

Anchor Clauses

GCC: —
NEC4: cl. 31.2, cl. 31.3

Comparative Synthesis

> **Executive summary —** GCC does not expressly require time risk allowance but permits Engineer challenge to over-optimistic programmes; NEC expressly requires float and time risk allowances and supports rejection. GCC is ex post and Engineer-led; NEC is relational and prospective, so planning evidence must be produced earlier.

1. Spirit / Philosophy — Engineer-led claims vs relational planning.

GCC: The GCC corpus does not use the terms "Project Manager", "time risk allowance", or "compensation events"; administration is by the Engineer, Architect or Surveyor, with time and cost change managed through Variations and Extension of Time claims. The programme is important evidence and a management aid, but

approval does not transfer responsibility from the Contractor. In TCE terms, the regime relies more on ex post control, Engineer review, and claims evidence than on a fully relational planning system.

NEC: NEC4 ECC treats the programme as the primary tool for managing time and prospectively assessing compensation events, anchored in mutual trust and co-operation under cl. 10.2. It expressly requires transparent treatment of float and time risk allowances, and links acceptance status to future assessment consequences. In TCE terms, NEC reduces maladaptation and dispute costs by forcing early disclosure, collaborative correction, and prospective risk pricing.

2. GCC Position (Implementation) — Programme realism checked, but approval limited.

Implementation flow:

1. Contractor submits initial programme within 14 days of acceptance of the Tender, showing "sequence, method and timing" (Clause 16(1)) →
2. Engineer checks conformity, sufficiency, and whether it is over-optimistic; if so, asks for written explanation (Contract Administration guidelines) →
3. If unconvinced, Engineer states dissatisfaction and requests a revised programme, without instructing how to revise it →
4. For Mega Projects, Engineer replies within 30 days by approval, request for further information, or rejection with reasons (SCC Clause A1(2)) →
5. For Mega Projects, Contractor resubmits within 21 days taking account of the Engineer’s reasons (SCC Clause A1(5)) →
6. Contractor revises whenever an EOT is granted, or on significant deviation in Mega Projects (Clause 50(4); SCC Clause A1(6)).

Under Clause 16(1), the Contractor must submit an initial programme within 14 days of the acceptance of the Tender showing the "sequence, method and timing" proposed to carry out the Works. It must include due allowance for Specialist Works and work by utility undertakings. The standard GCC does not expressly require a graphical "time risk allowance", but the Contractor is practically expected to allow adequate time for foreseeable constraints such as site investigations, temporary works, and utilities so that the programme is realistic.

The Engineer examines the programme against three criteria: conformity with the Contract requirements on sequence, method, and timing; whether it is "over-optimistic in respect of any critical activity or the Works as a whole"; and whether it contains sufficient information for management of the Contract. If realistic float, risk allowances, or foreseeable delays are omitted, the Engineer may treat it as failing the over-optimism criterion. The Engineer should ask the Contractor to explain in writing the basis of programming. If still dissatisfied, the Engineer informs the Contractor of dissatisfaction and requests a revised programme, but must not advise or instruct how it should be revised. Under the standard GCC there is no strict time limit for the Engineer’s reply.

For Mega Projects, SCC Clause A1(2) tightens the process: within 30 days of receipt, the Engineer must approve, request further information, or reject. Rejection must give "reasons for such rejection... including indication of those parts of the programme with which the Engineer is not satisfied". SCC Clause A1(5) then requires the Contractor to submit a revised programme within 21 days taking account of the reasons.

Clause 16(2) provides that submission or approval does not relieve the Contractor of any duty or responsibility. SCC Clause A1(8)(b) similarly states that approval does not bind the Employer nor entitle the Contractor to an Extension of Time. For EOT assessment, the Engineer under Clause 50(2) must consider whether a delay event, such as inclement weather under Clause 50(1)(b), affected critical areas. The corpus states that "float values in a programme are an indication of the relative criticality of activities" and that an EOT should only be granted if delay "is predicted to reduce to below zero the total float on the critical path". Missing float therefore weakens proof that overall completion was affected. Clause 50(4) requires revision whenever an EOT is

granted, and SCC Clause A1(6) adds revision where significant deviation from anticipated progress occurs in Mega Projects.

3. NEC4 Position (Implementation) — Non-compliant programme may be rejected.

Implementation flow:

1. Contractor submits programme for acceptance, including required float and time risk allowances (cl. 31.1; cl. 31.2) →
2. Project Manager replies within two weeks by acceptance or reasons for non-acceptance (cl. 31.3; cl. 13.4) →
3. If no reply within two weeks, failure is a compensation event (cl. 60.1(6)) →
4. If rejected, Contractor resubmits within the period for reply, taking account of reasons (cl. 13.3; cl. 13.4) →
5. If a compensation event arises before acceptance for a stated reason, Project Manager assesses using own programme assessment (cl. 64.1; cl. 64.2) →
6. Accepted Programme then informs prospective delay and risk assessment (cl. 11.2(1); cl. 63.5; cl. 63.8).

NEC4 ECC requires proactive project management and transparent time control under mutual trust and co-operation (cl. 10.2). The programme is the main instrument for time management and prospective compensation-event assessment. Under cl. 31.1 and cl. 31.2, a submitted programme must show the information required by the contract, expressly including "provisions for float" and "time risk allowances". Time risk allowances are the Contractor’s contingencies for foreseeable risks and delays at the Contractor’s risk. A programme omitting them is fundamentally non-compliant.

Upon receipt, the Project Manager must reply within two weeks under cl. 31.3. Under cl. 13.4, the Project Manager must either accept or notify reasons for not accepting; acceptance may also be withheld if more information is needed to assess the submission fully. Failure to reply within this two-week period is a compensation event under cl. 60.1(6). The permitted cl. 31.3 reasons are that the Contractor’s plans shown are not practicable; the programme does not show the information the contract requires; it does not represent the Contractor’s plans realistically; or it does not comply with the Scope. Missing float and time risk allowances support non-acceptance because the programme "does not show the information which the contract requires" under cl. 31.2 and likely "does not represent the Contractor's plans realistically". Withholding acceptance for a reason stated in the contract is not a compensation event under cl. 13.8.

If mistakenly accepted, the defective programme becomes the Accepted Programme under cl. 11.2(1). Delay to the Completion Date is then assessed prospectively under cl. 63.5 as the length of time planned Completion is later than the planned Completion shown on the Accepted Programme current at the dividing date. Under cl. 63.8, compensation-event assessment must include risk allowances for cost and time for matters with a significant chance of occurring and at the Contractor’s risk. Without float or time risk allowances in the Accepted Programme, the Contractor has stripped out its buffer and complicated assessment of concurrent delays.

If rejected, the Contractor must resubmit within the period for reply under cl. 13.3, taking the Project Manager’s reasons into account under cl. 13.4. If a compensation event arises while the latest programme has not been accepted for a reason stated in the contract, the Contractor loses the right to assess it; the Project Manager assesses using their own assessment of the programme for the remaining work under cl. 64.1 and cl. 64.2. cl. 32.2 and cl. 60.1(9) are cited in the clause set, but no further operative detail was provided in the expert response.

4. Behavioural Implications — Earlier planning discipline drives entitlement.

Under GCC, the Contractor’s immediate behavioural burden is to submit a plausible Clause 16(1) programme within 14 days, then defend its realism if the Engineer challenges it as over-optimistic. The Contractor should preserve the logic behind activity durations, float, utilities, Specialist Works, temporary works and foreseeable

constraints, because omission of float later undermines proof under Clause 50(2) that a Clause 50(1)(b) or other delay affected critical areas. The Engineer's behaviour is supervisory rather than co-planning: request a written explanation, state dissatisfaction, and request revision, but do not instruct the Contractor how to revise.

Under NEC, the behavioural incentives are sharper and earlier. The Contractor must submit a programme for acceptance under cl. 31.1 and cl. 31.2 that expressly shows float and time risk allowances; otherwise the Project Manager should reply within two weeks under cl. 31.3 and cl. 13.4 with contractual reasons for non-acceptance. Silence is risky for the Employer because no reply within two weeks is a compensation event under cl. 60.1(6). Rejection also carries consequences for the Contractor: if a compensation event arises before a compliant programme is accepted, cl. 64.1 and cl. 64.2 allow the Project Manager to assess using their own programme assessment. Thus NEC turns planning discipline from a later EOT evidential issue into a live condition for commercial self-assessment and collaborative administration.

Implementation comparison (GCC vs NEC4)

Aspect	GCC	NEC4
Programme submission	Within 14 days after Tender acceptance (Clause 16(1)).	Submitted for acceptance with required content (cl. 31.1; cl. 31.2).
Float or risk allowance	Not express; omission may be over-optimistic (Clause 16(1)).	Express "float" and "time risk allowances" required (cl. 31.2).
Administrator reply	No standard strict limit; Mega Projects 30 days (SCC A1(2)).	Project Manager replies within two weeks (cl. 31.3; cl. 13.4).
Reasons for rejection	Mega rejection gives reasons and unsatisfactory parts (SCC A1(2)).	Must state contractual non-acceptance reasons (cl. 31.3; cl. 13.4).
Resubmission	Mega revised programme within 21 days (SCC A1(5)).	Resubmit within period for reply (cl. 13.3).
Delay consequence	Float supports EOT criticality proof (Clause 50(1)(b); Clause 50(2)).	Accepted Programme drives cl. 63.5; rejection triggers cl. 64.1/64.2 risk.

5. GCC Lessons for NEC Adoption — GCC claim habits become NEC planning tools.

Start with the familiar Clause 16(1) discipline: Hong Kong GCC practitioners already know how to prepare a programme showing "sequence, method and timing" within 14 days of Tender acceptance. Under NEC, that skill transfers directly to cl. 31.1 and cl. 31.2, but the behavioural adjustment is precision: float and time risk allowances must be shown expressly, not left implicit in activity durations.

The GCC workflow for an over-optimistic programme also transfers. Under GCC practice the Engineer may ask for a written explanation, state dissatisfaction, and request revision; in Mega Projects SCC Clause A1(2) requires a 30-day reply and reasons, while SCC Clause A1(5) requires resubmission within 21 days. Under NEC, the same exchange becomes a stricter acceptance mechanism: the Project Manager replies within two weeks under cl. 31.3 and cl. 13.4, and the Contractor resubmits within the period for reply under cl. 13.3. The adjustment is timing and purpose: the response is not merely to satisfy review, but to protect the Accepted Programme platform.

GCC EOT practice under Clause 50(1)(b), Clause 50(2), and Clause 50(4) gives a useful foundation. Practitioners used to proving critical delay, total float impact, and revised programmes should apply that analysis prospectively under NEC cl. 63.5 and cl. 63.8. The adjustment is forecasting: use float and risk allowances to price and assess compensation events before delay crystallises.

Finally, the GCC understanding that Clause 16(2) and SCC Clause A1(8)(b) approval does not relieve responsibility should be retained, but reframed. Under NEC, mistaken acceptance creates an Accepted Programme under cl. 11.2(1), while non-acceptance may lead to Project Manager assessment under cl. 64.1 and cl. 64.2. GCC claim, record, variation, and delay-analysis habits should therefore be used earlier as NEC planning, acceptance, and compensation-event management tools.

GCC practice / experience	Transfers to NEC implementation
Clause 16(1) sequence, method and timing programme.	cl. 31.1/cl. 31.2 programme; expressly show float and time risk allowances.
Engineer challenge to over-optimistic programme.	cl. 31.3/cl. 13.4 non-acceptance; answer stated reasons promptly.
SCC A1(2) rejection reasons workflow.	cl. 13.4 reasons; treat reply as contractual acceptance control.
Clause 50(2) criticality and total-float EOT proof.	cl. 63.5 assessment; forecast planned Completion impact prospectively.
Clause 50(4) and SCC A1(6) revised programmes.	Accepted Programme management; avoid cl. 64.1/cl. 64.2 PM assessment.

6. HK-Specific Notes — PAH and DEVB sharpen programme practice.

For GCC, the Project Administration Handbook PAH Chapter 5, Appendix 5.36 prescribes SCC Clause A1 for "Mega Project Contracts". This significantly tightens the standard GCC programme process by introducing SCC Clause A1(2), which requires the Engineer to reply within 30 days of receipt by approving, requesting further information, or rejecting. If rejecting, the Engineer must give "reasons for such rejection... including indication of those parts of the programme with which the Engineer is not satisfied". SCC Clause A1(5) imposes a 21-day limit for the Contractor to submit a revised programme taking account of those reasons. SCC Clause A1(6) requires revision when significant deviation from anticipated progress occurs. SCC Clause A1(8)(b) confirms that approval does not bind the Employer nor entitle the Contractor to an EOT.

Hong Kong GCC training material in the corpus, including "Seminar reviewing Chapter 4 Time Extension Delays", emphasises the necessity of identifying total float for EOT claims. The corpus states that "float values in a programme are an indication of the relative criticality of activities" and that an EOT should only be granted if delay "is predicted to reduce to below zero the total float on the critical path". This makes realistic float a practical necessity for Hong Kong public works contractors even though standard GCC does not use the phrase "time risk allowance". Works Bureau Technical Circular WB1900 does not address this aspect.

For NEC4 ECC in Hong Kong, the DEVB Practice Notes of July 2023 and December 2024 specifically address substandard programmes missing float and time risk allowances. They identify as a "common pitfall" that the Contractor's submitted programme is not up to the contract requirements because of a "lack of focus on planning and programming... which makes it difficult to understand what considerations have been taken into account in float, time risk allowances".

The DEVB Practice Notes advise that, where a programme is repeatedly substandard and cannot be accepted, the Project Manager should arrange a joint meeting or workshop among the key staff who prepare and assess the programme. In that workshop, "the definitions of terms namely 'float' and 'time risk allowances' and their provisions in the programme should also be elaborated to ensure mutual understanding of their importance".

The DEVB also advises a pragmatic approach to avoid the project operating without an Accepted Programme, because that would force the Project Manager to assess compensation events using their own assessment

under cl. 64.2 and undermine NEC’s collaborative ethos. The Project Manager may conditionally accept a sub-programme showing detailed planning for the upcoming 3 to 12 months, with minimum required details for later activities, rather than rejecting the entire submission and derailing the compensation-event framework.

Rule-based Validation Summary

Overall verdict: PASSED
Confidence: 1.00
Iterations used: 1
Rule-based track: pass

Metric	Value	Threshold	Status
Citation Accuracy Rate (GCC)	1.00	≥ 0.85	pass
Citation Accuracy Rate (NEC4)	1.00	≥ 0.85	pass
Coverage Rate (GCC)	1.00	≥ 0.85	pass
Coverage Rate (NEC4)	1.00	≥ 0.85	pass
Composite Confidence	1.00	≥ 0.70	pass

NEC4 anchors covered: cl. 31.2, cl. 31.3

LLM Semantic Validation (Track 2)

Track verdict: pass
Severity: minor
Default codes: E1 (hallucinated clause), E2 (egregious content mismatch)
Diagnostic-only — does NOT gate the overall verdict.

No semantic issues raised.